EXECUTIVE ANALYTICS CAPSTONE

Keeping customers longer: what the churn data says

Five insights, an impact range, and one recommended action

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The short version

One minute for a busy decision-maker

47%

of customers in our sample left (7 of 15).

100%

of Month-to-Month customers left. None on a yearly plan did.

32%

of monthly revenue sits with customers who look high or medium risk ($410 of $1,270).

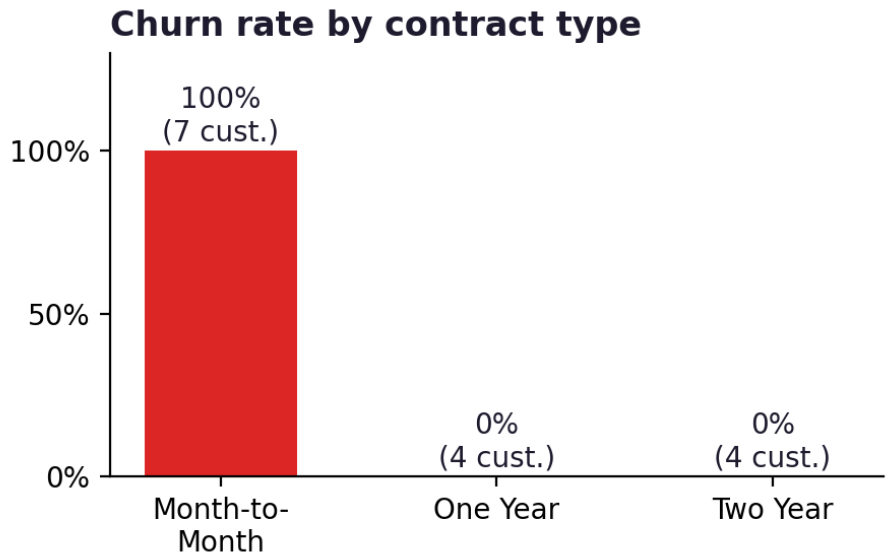
The problem. Customers are leaving, and the ones who leave look alike: short contracts, short history, and a lot of support contacts.

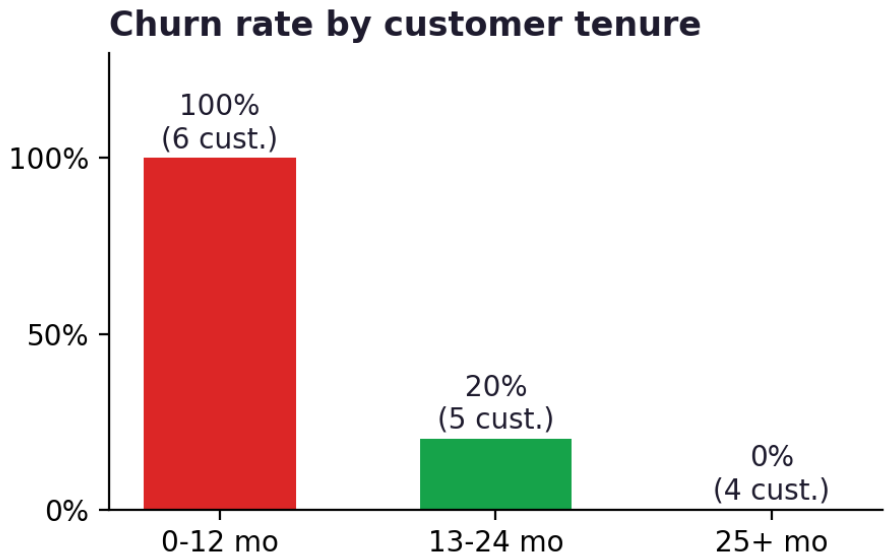
What to do. Reach out early to customers who match that pattern, and test an offer to move Month-to-Month customers onto a one-year plan.

How sure are we? Not very. This is only 15 customers, so treat the findings as strong hints. We recommend a small, low-cost pilot before any large spend.

Insights 1 to 3: who leaves

Contract type and time as a customer matter most





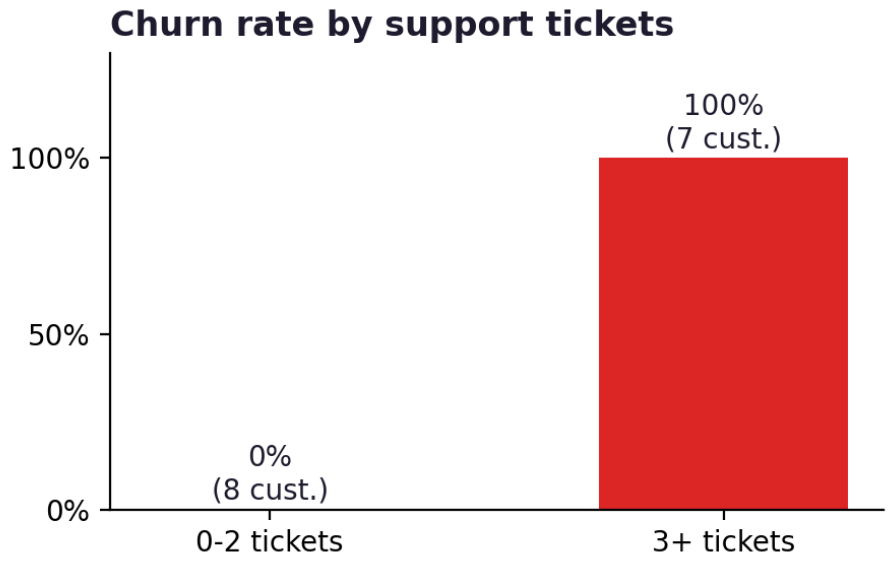
1. Contract type. All 7 Month-to-Month customers left; none of the 8 on a one- or two-year plan did. A longer commitment goes with staying.

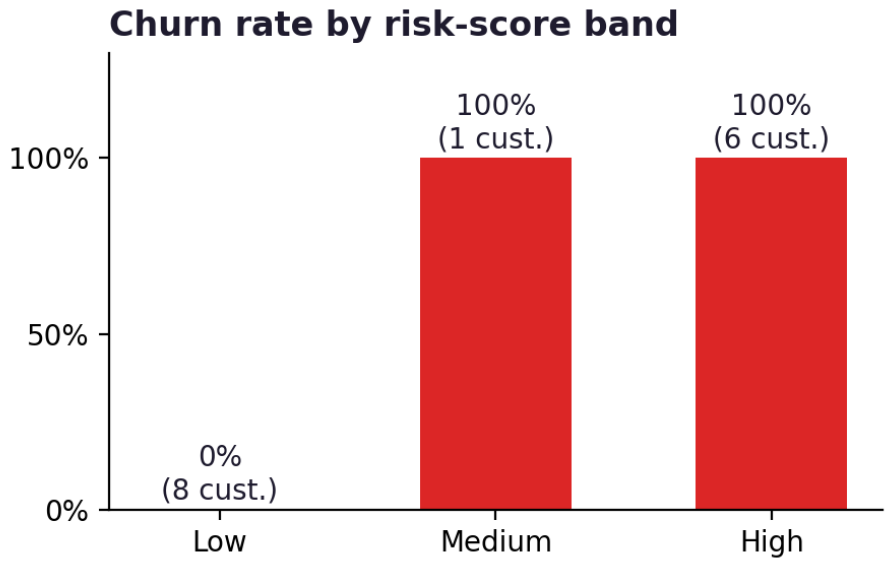
2. Newness. All 6 customers with a year or less of history left. Those who stayed past two years show no churn.

3. Why it matters. Month-to-Month and new overlap heavily, so the first year is where we can still change the outcome.

Insights 4 and 5: early warning and money

Support tickets give a signal, and a simple score sorts customers





4. Support tickets are a warning light. All 7 customers with 3 or more tickets left; none of the 8 with 2 or fewer did.

5. A simple score can rank who to call first. Points for contract, tenure and tickets: Low-risk 0 of 8 left; Medium 1 of 1; High 6 of 6.

Money. Medium and High risk customers account for $409.93 a month, 32% of the sample's $1,269.85.

What could this be worth?

An illustrative range, not a promise

	Cautious case	Optimistic case
Share of at-risk customers kept	**20%**	**50%**
Monthly revenue protected	**$82**	**$205**
Yearly revenue protected	**$984**	**$2,460**

Assumptions behind the range

- The at-risk group is the $410 a month from Medium and High risk customers in this sample.
- Outreach and offers keep 20% to 50% of them. This is our assumption, not something the data proved.
- Kept customers stay a full year at today's prices.
- The cost of the offer or outreach is not subtracted yet.

Scale these numbers to your real customer count. The percentages matter more than the dollar amounts from a 15-customer sample.

How much to trust this

Honest limits before anyone acts

- **Very small sample.** 15 customers is enough to spot a pattern, not enough to prove one. Real data will be messier.
- **Too-perfect results.** The score was built and checked on the same customers, so its accuracy is probably overstated.
- **Correlation is not cause.** Month-to-Month customers may leave because of price, competitors, or need, not because of the contract itself.
- **No cost or time data.** We do not know what outreach costs or how long customers would stay.
- **Blind spots.** A long-term customer who is unhappy (many tickets) can still score Low, so ticket spikes need separate watching.

Recommended action

Small pilot first, then decide

1 Call early

Contact High-risk customers (score 5+) within their first 3 months, starting with those who raised 3+ tickets.

2 Test an offer

Offer a small incentive to Month-to-Month customers who move to a one-year plan. Run it on a sample group first.

3 Measure

After 60 to 90 days, compare kept customers against a similar group we did not contact.
Re-test the score on a larger customer list.

Decision requested: approve a 90-day pilot with a small budget, and agree the success measure (customers kept compared with a similar group).